

ECONOMICS PAPER 2
(Mock Test 37)
Question-Answer Book

Time allowed: 2 hours 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11, 13, 15, 17, 19, 21 and 23.
- (2) This paper consists of three sections, A, B and C. Answer ALL questions in sections A and B. Attempt any ONE question in section C.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

Please stick the barcode label here.

Candidate Number									
------------------	--	--	--	--	--	--	--	--	--

Marker's Use Only	
Marker No.	
Question No.	Marks
1	
2	
3	
4	
5	
6	
7	
8	
9	
10	
11	
12	
Total	

Section A (44 marks)

1. In May 2024, the Hong Kong government announced that it would defer the implementation of municipal solid waste charging. Starting from June 2024, the government will distribute 20 designated bags free of charge every month to households in Public Rental Housing (PRH) estates for a period of six months.
- (a) Explain whether the above free designated bags are
- (i) free goods or economic goods. (2 marks)
- (ii) private goods or public goods. (3 marks)
- (b) ‘Distributing designated bags for free can reduce the cost of living for households of PRH estates.’ Explain whether this statement is a positive statement or normative statement. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

2. Joey and Queenie run a fruit shop in the form of a partnership.

- (a) They are planning to turn the fruit shop into a private limited company. List **ONE** advantage and **ONE** disadvantage of changing the form of ownership. (2 marks)
- (b) There is a significant increase in local consumers' demand for imported fruits. Therefore, Joey and Queenie's fruit shop imports more types of fruit from all over the world. Explain how this would affect the current account in the balance of payments of Hong Kong. (2 marks)
- (c) Later, Joey and Queenie open several branches. They find that the average cost of production of their business has decreased. Suggest **TWO** reasons for the above change in average cost. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

3. The government of Country A began to impose a per-unit tax on durian farmers 10 years ago. Suppose durians are normal goods to residents of Country A.

Country A's economy experienced a recession this year. How would the deadweight loss in the market of durians be affected? Explain your answer with the aid of a supply-demand diagram.

(Hint: Assume the supply and demand curves of durians shift in a parallel manner.)

(6 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

4. Refer to the following data for Country A.

Year	Real GDP	Unemployment rate
2021	9,500,000	4.2%
2022	8,100,000	4.4%
2023	7,005,000	4.5%

- (a) The economy of Country A was most likely in which phase of the business cycle during 2021 to 2023? (1 mark)
- (b) Give **TWO** reasons why we cannot conclude from the above data that the living standard of the people in Country A decreased during the above period. (2 marks)
- (c) 'The above change in the unemployment rate necessarily implies an increase in the unemployed population in Country A between 2021 and 2023.' Do you agree? Explain your answer. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

5. The table below shows Country A's implicit price deflator of GDP in 2022 and 2023.

Year	Implicit price deflator of GDP
2022	101.3
2023	105.6

- (a) Calculate the inflation rate of Country A in 2023. (1 mark)

- (b) The following table shows the money supply in Country A.

Year	Money supply (\$ million)
2022	8,290,000
2023	8,260,000

According to the quantity theory of money, explain under what condition the above change in the money supply would result in an increase in the general price level in the short run. (3 marks)

- (c) Mr. Chan is a resident of Country A. In 2022, Mr. Chan deposited an amount into his time deposit account and earned a fixed interest rate. Supposing he did not expect any change in the price level from 2022 to 2023, would he gain or lose during the above period? Explain. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

6. Since the year of assessment 2024-25, a two-tiered standard rates regime is implemented for salaries tax and tax under personal assessment.

Net income	Existing system	New two-tiered standard rates regime
On the first \$5 million	15%	15%
Remainder		16%

(Source: Inland Revenue Department, HKSAR Government)

- (a) Explain whether the salaries tax and tax under personal assessment are a direct tax or an indirect tax in Hong Kong. (2 marks)
- (b) Evaluate the above change in the tax system in terms of **ONE** principle of taxation put forward by Adam Smith. (2 marks)
- (c) Explain **ONE** possible undesirable effect of the above change in the tax system on the Hong Kong economy as a whole. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

7. The table below shows the amount of goods that can be produced with 1 unit of resources in Country A and Country B respectively.

	Coffee (units)		Clothing (units)
Country A	40	OR	50
Country B	10	OR	20

- (a) Which good would Country A export according to its comparative advantage? Explain. (3 marks)
- (b) Suppose the terms of trade is 1 unit of coffee = 1.5 units of clothing and Country A needs to pay 0.1 units of imports as transportation cost per unit of exports. Calculate Country A's gain from exporting 10 units of the good. Show your workings. (3 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF SECTION A

Answers written in the margins will not be marked.

Please stick the barcode label here.

Section B (60 marks)

8. The Chinese University of Hong Kong announced an increase in its University Admission Scholarships starting from the 2024-2025 academic year to a total amount of \$35.9 million. The University Admission Scholarships are awarded based on students' HKDSE results. Students with better results will receive scholarships of higher award values.

- (a) To which type of production does a university belong? (1 mark)
- (b) Explain whether the amount of the University Admission Scholarships provided to students would be included in the calculation of Hong Kong's gross domestic product (GDP). (2 marks)
- (c) Suppose there is a deflationary (output) gap in the Hong Kong economy. With the aid of an AS-AD diagram, explain how the above scholarship scheme will affect the deflationary (output) gap in the short run. (7 marks)
- (d) Jace was a candidate for the 2024 HKDSE Examination. She was considering her study plans. She had several options and her order of preference was as follows:

First option:	to enroll in an arts programme abroad
Second option:	to enroll in a law programme at the University of Hong Kong
Third option:	to enroll in an accounting programme at the Chinese University of Hong Kong

Suppose Jace was eligible to receive a University Admission Scholarship from the Chinese University of Hong Kong. Explain whether Jace's opportunity cost of choosing to enroll in an arts programme abroad would *necessarily* remain unchanged when the amount of the University Admission Scholarships increased. (3 marks)

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

9. Greece has announced that starting from 2025, it will charge different cruise passenger fees for popular islands during peak, shoulder and low seasons. For example, cruise passengers who get off in Mykonos and Santorini during peak season will be charged 20 euros (approximately HK\$170) per person.

(a) Many residents of Santorini think that the city has become overcrowded due to too many tourists.

(i) Explain, in terms of externalities, how too many tourists visiting Santorini may result in inefficiency. (3 marks)

(ii) Explain how charging cruise passenger fees may improve economic efficiency. (2 marks)

(b) 'As every visitor has to pay the same fee regardless of their place of departure, the proportion of European visitors to Santorini is expected to decrease while the proportion of Asian visitors is expected to increase.' Explain this argument using the law of demand. (4 marks)

(c) Someone has pointed out that even if the cruise passenger fees are introduced, the number of tourists visiting Santorini during peak season may not be significantly reduced.

Based on this viewpoint, what can we conclude about the price elasticity of demand and/or supply of trips to Santorini during peak season? Explain. (3 marks)

(d) Travel agencies generally pay tour guides a basic salary plus commission. From the viewpoint of the travel agencies, explain why a basic salary plus commission is preferable to a time rate. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

10. Taxis are one of the main public passenger transport options in Hong Kong, providing a personalised point-to-point transport service for passengers. The public is concerned about the government's measures regarding the taxi industry and other personalised point-to-point transport services.

Source A: Adjustments to the urban and New Territories taxi fares (effective from 14 July 2024)

	Flagfall charge for the first 2 kilometres or any part thereof	
	Urban taxis	New Territories taxis
Existing fare	\$27	\$23.5
New fare	\$29	\$25.5
	Incremental charge for each 200 metres travelled after flagfall	
First-tier distance	2-9 km	2-8 km
Existing fare	\$1.9 per jump	\$1.7 per jump
New fare	\$2.1 per jump	\$1.9 per jump
Second-tier distance	after 9 km	after 8 km
Existing fare	\$1.3 per jump	\$1.3 per jump
New fare	\$1.4 per jump	\$1.4 per jump

(Source: Press Releases, HKSAR Government)

Source B: Views of citizens on taxi fare adjustments

 Mr. Chan	With the new fares, my waiting time for a taxi during peak hours has been significantly reduced.
 Miss Lee	Currently, many taxis don't offer electronic payment options. I often cannot take a taxi immediately due to insufficient cash, which discourages me from using taxi services. If taxis do not upgrade their equipment, I think a fare increase is unreasonable.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Source C: Two news reports about the taxi industry

As of August 2024, there are 18,163 taxis in Hong Kong. The average daily taxi patronage is near 1 million. The government has introduced the taxi fleet regime, under which operators may assemble existing taxis to form fleets and apply to the Transport Department for a taxi fleet licence. The government will regulate the operation and management of taxi fleets, and specify the devices that fleet taxis have to install through licence conditions to improve driving safety and service quality.

The government has launched a \$1 billion Smart Traffic Fund to support enterprises and organisations in the research and application of vehicle-related innovations and technology. The aim is to enhance commuting convenience, make more efficient use of road space and the road network, and improve driving safety. The Smart Traffic Fund has approved three projects relating to taxi driving safety, hoping to make good use of technology to improve taxi driving safety.

Source D: A news report about online ride-hailing platforms

Currently, some private cars are illegally offering personalised point-to-point transport services through online ride-hailing platforms. In response, the government is considering enacting legislation to regulate these platforms. The proposed approach is that the platforms will need to obtain licenses and meet some other requirements. Vehicles on these platforms will need to have a hire car permit and insurance coverage, and drivers who work for a platform will only be allowed to provide pre-arranged services through the platform.

Secretary for Transport and Logistics said that enacting legislation to regulate online ride-hailing platforms will make it legal for people to become drivers on these platforms, thereby attracting more drivers to the industry. This will also help ensure travel safety and rights of citizens.

- (a) Refer to Sources A and B.
- (i) With the aid of a supply-demand diagram, explain the phenomenon that Mr. Chan mentioned. (6 marks)
- (ii) Explain whether the adjustments to taxi fares will *necessarily* increase people's cost of using taxi services. (3 marks)
- (b) Refer to Source C. Other things being equal, what will be the effects of the government's measures for the taxi industry on Hong Kong's aggregate demand and long run aggregate supply? What will be the effect on aggregate output in the long run? Explain your answers with the aid of a diagram. (7 marks)
- (c) Refer to Source D. When the online ride-hailing platforms become legal, explain how the labour mobility of Hong Kong may be affected. (3 marks)

Answers written in the margins will not be marked.

Please stick the barcode label here.

For part (d), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (d) Suppose there are two suggestions to improve the personalised point-to-point transport services in Hong Kong.

Suggestion I	Legalise online ride-hailing platforms and lower the requirements for hire car permits.
Suggestion II	Offer tax deductions to taxi operators for expenditures related to upgrading vehicle equipment, such as the installation of electronic payment tools and closed-circuit television (CCTV) systems.

With reference to the above sources and your own knowledge in Economics, discuss which suggestion, suggestion I or II, the government will prefer in order to achieve **EACH** of the following policy objectives respectively.

- Objective 1: increasing the total revenue in the market described in each suggestion
Objective 2: improving the government's fiscal balance
Objective 3: lowering the unemployment rate

(14 marks)

(Use a separate paragraph for each policy objective, comparing the effects of the two suggestions.)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF SECTION B

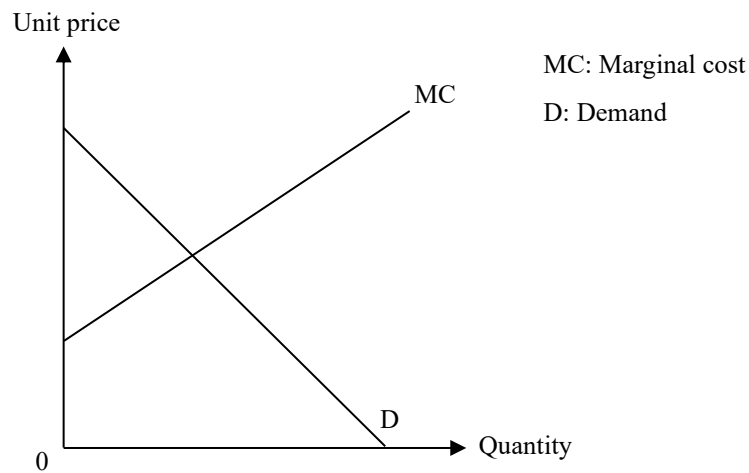
Answers written in the margins will not be marked.

Please stick the barcode label here.

Section C (16 marks) Answer any **ONE** question.

11. The seafood market in Country A is perfectly competitive.

Figure 1



- (a) Indicate the profit-maximising output and price as Q_c and P_c respectively in Figure 1. (2 marks)

Later, one of the seafood producers, firm X, acquires all the other seafood producers in the market, thus becoming a monopolist. Suppose firm X adopts simple monopoly pricing and the marginal cost of production remains the same as in the perfectly competitive market.

- (b) Indicate the new profit-maximising output and price as Q_M and P_M respectively in Figure 1. (3 marks)
- (c) With the aid of Figure 1, explain the effect of the change in the market structure on economic efficiency. (4 marks)
- (d) Firm X offers a 10% discount to customers aged 70 or above.
- (i) Define price discrimination and explain why this price arrangement constitutes price discrimination. (3 marks)
- (ii) Suggest **ONE** condition for practising this type of price discrimination. (1 mark)
- (e) Firm X requires customers to purchase the store's delivery service when buying seafood. Name the anti-competitive behaviour firm X may be engaged in. State **TWO** ways in which the behaviour may harm consumers. (3 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

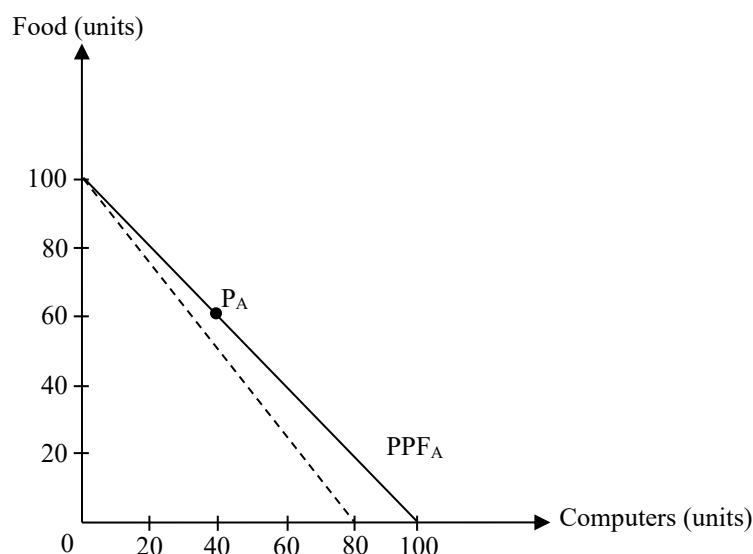
Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

12. Refer to Figure 2. PPF_A is the production possibility frontier of Country A.

Figure 2



Both Country A and its trading partner, Country B, produce food and computers only. Both countries have 100 units of resources. Country B requires 1 unit of resources to produce 1 unit of food and 2.5 units of resources to produce 1 unit of computers.

- (a) Draw the production possibility frontier of Country B (PPF_B) in Figure 2. (1 mark)
- (b) Explain which country has an absolute advantage in producing computers. (2 marks)
- (c) P_A is the production point of Country A before trade. The slope of the dotted line is the world price of computers. Suppose both countries engage in trade and practise complete specialisation according to their comparative advantages.
 - (i) Indicate the production points of Country A and Country B after trade as P_{TA} and P_{TB} respectively in Figure 2. (2 marks)
 - (ii) Indicate Country A's consumption possibility frontier after trade (CPF_A) in Figure 2. (2 marks)
 - (iii) Suppose Country A consumes the same amount of food before and after trade. Indicate the consumption point (C_{TA}), export volume and import volume of Country A after trade in Figure 2. (3 marks)
- (d) Suppose Country A develops a new production technology that increases the output of food and computers by the same proportion. Explain whether the direction of trade between the two countries will be affected. (2 marks)
- (e) An economist of Country A states that although economic growth of Country A will improve after engaging in trade, its economic development may worsen. Justify the view of the economist. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF PAPER

Answers written in the margins will not be marked.